and immediate result would be severe currency scare.'[16] A suggestion from Sir Henry Strakosch of the India Office that India should buy gold from the US at ₹42 per tola and resell to the US at the same rate in installments over a sufficiently long period was rejected by the British government, but it agreed to try out gold sales in India and the Middle East to cover a part of their military expenditure, and that of the US in these areas. The bank started selling gold on behalf of the UK on August 16, 1943, (and later on behalf of the US as well), sales, which continued till mid-August 1945. This sensitive and delicate operation was carried out by the RBI under Deshmukh in a most satisfactory manner. Attempts to supervise the bank's operations were resisted and a suggestion of an American observer prompted the bank to tell the US authorities that in that case they could make their own arrangements to sell their gold.

Much secrecy surrounded these operations and even the Board was kept in the dark about the sales. The Directors even inspected the gold stocks in Allahabad Fort to satisfy themselves that the bank's own gold holdings were intact. The first official announcement was made in February 1944, and a memorandum giving details of the sales was placed before the Board on April 17, 1944. The bank also exchanged its holdings of sovereigns for gold bullion, at a premium. Sales in the period 1936–47 amounted to 12 million pieces, resulting in a profit of ₹5.2 crores.

Silver Sales during the War

In 1935, when the management of the paper currency system was taken over by the new RBI, 500 million rupee coins, containing about 171 million ounces of silver, were transferred by the government to the bank. The remainder was retained by the Government for melting and sale. The silver was in the form of bullion and silver coins.

From 1939–40, the Government commenced the sale of silver in the Indian markets. When sales commenced in August 1939, stocks of fine silver with government had been practically exhausted. Consequently, the RBI embarked upon the sale of standard silver, i.e., 11/12ths fine. Sales were made in India on the basis of London prices, including cost of transportation and import duty.